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Financial & Fiscal Aspects of Oil & Gas Projects in Brazil

Under PSCs & Concession regimes

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Financial & Fiscal Aspects of Oil & Gas Projects in Brazil

This comprehensive course on Financial & Fiscal Aspects of Oil & Gas Projects in Brazil provides an in-depth examination of the petroleum fiscal frameworks governing both Production Sharing Contracts (PSCs) and Concession regimes in the Brazilian upstream sector. The program covers the complete spectrum of petroleum economics and fiscal payments, including bonuses, royalties, corporate income tax, production sharing mechanisms, and special resource rent payments, while exploring how these fiscal terms impact project economics and commercial decision-making. Participants will gain detailed insights into Brazil's specific regulatory environment, including local content requirements, acreage allocation practices, and the competitiveness of Brazilian fiscal terms across different operational contexts (onshore, shallow water, deep water, and ultra-deep water). The course also addresses contemporary challenges facing the industry, particularly the impact of energy transition on oil and gas projects, covering carbon pricing mechanisms, CCUS (Carbon Capture, Utilisation and Storage), renewable energy integration, hydrogen production, and how upstream fiscal policies are adapting to support decarbonization efforts while maintaining economic viability for petroleum projects.



LOCATION

Rio de Janeiro, Brazil

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Part 1. Inputs and considerations for upstream fiscal terms

Aspects of the oil and gas value chain relevant for the upstream fiscal terms

- § Upstream project's lifecycle
- § Exploration outcomes, geologic and market factors affecting a project's economics
- § Logistical environments
- § Properties of oil and gas: quality aspects, production streams and by-products, infrastructure aspects
- § Phases of a field's development (primary, secondary and tertiary)
- § Oilfield services
- § Downstream use of oil and gas: direct use, petroleum products, petrochemicals
- § Low-carbon businesses of oil and gas companies

Allocation of oil and gas rights

- § How petroleum acreage is allocated to investors: land rights and subsurface rights, nomination of acreage, bidding rounds and open-door policies
- § Extended continental shelf and UNCLOS
- § Joint development zones between states
- § Overlapping rights: in-country and international unitisation of fields

Petroleum contracts

- § Petroleum contracts used by governments: concessions, production sharing contracts, risk-service contracts; differences and similarities
- § Provisions of petroleum contracts and other legislation: interactions options and issues for companies and governments
- § Contract duration and renewals: strategies and issues
- § Important non-fiscal contractual provisions
- § Styles of contract's design: more or less detailed provisions
- § Permits

Petroleum economics

- § Brief discussion of petroleum economics and profitability indicators used by investors to evaluate oil and gas projects (NPV and discount rate, WACC and IRR, EMV, maximum exposure, payout, breakeven price, others)
- § Other project's metrics: reserves, oil equivalent production, entitlement reserves, daily and cumulative production
- § Lifting of production
- § Financing of upstream projects: exploration, post-exploration (reserve-based financing, farmouts, other)

Petroleum fiscal terms

- § Nature and scope of upstream fiscal payments
- § Project's value and fiscal terms
- § Operational considerations, farm-in and farm-out considerations for oil and gas companies

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Part 2. Fiscal payments applicable to oil and gas projects

Bonuses, Rentals, other yearly payments

- § Signature bonuses, production bonuses, special bonuses
- § Rentals and acreage management
- § Lump sum and yearly payments (training, social investments, others)
- § Inflation adjustments for yearly payments or fiscal values
- § Brazil and international practices

Royalties

- § Fixed royalties and sliding scales
- § Advantages and challenges of sliding scales
- § Differentiation of rates
- § UNCLOS royalty
- § Netback and valuation matters, taxable volumes
- § Brazil and international practices

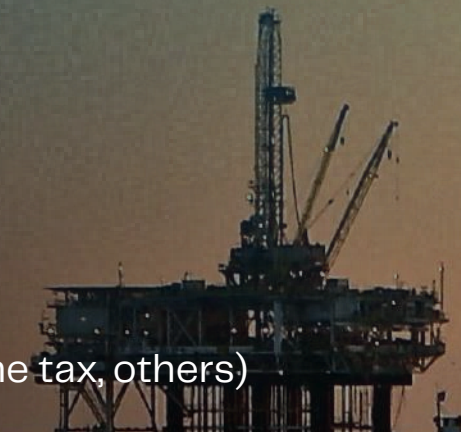
Corporate income tax

- § Consolidation and ring-fencing
- § Revenue: lifting, market price controls
- § Depreciation: overview of depreciation rules (start of depreciation, methods, depreciation rates for typical categories of expenditure)
- § Deduction rules for: operating costs, foreign overheads, interest, decommissioning, decarbonisation expenditure, expenditure for integrated low-carbon applications
- § Capex vs opex and capital allocation decisions
- § Uplifts and credits
- § Loss carry forward and carry back
- § Brazil and international practices

Production sharing

- § Profit petroleum fixed and sliding scales
- § Ring-fencing and consolidation for cost recovery
- § Fixed and sliding scales cost limits
- § Recoverable and non-recoverable costs
- § Depreciation for cost recovery
- § Decommissioning costs
- § Uplifts, credits
- § Interest, excess cost petroleum
- § Cost recovery and low oil and gas prices: issues
- § Terms for natural gas and natural gas liquids
- § Interaction with other fiscal features (royalties, corporate income tax, others)
- § Valuation provisions
- § Accounting procedures
- § Brazil and international practices

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Part 2. Fiscal payments applicable to oil and gas projects

Mandatory State Participation

- § General joint ventures between companies
- § How the mandatory state participation fits in: types and issues
- § Carried interest and corporate income tax: deduction of carried costs by investors, consolidation of multiple interests by investors
- § Production sharing and carried interest: recovery provisions for carried costs
- § Brazil and international practices

Special resource rent payments

- § Windfall features
- § Gross revenues and expenditure-based features
- § Cashflow and other profits-based features
- § IRR-based calculation and applications
- § R-factor calculation and applications: formulas, cumulative vs cumulative with adjustments, design challenges
- § Brazil and international practices

Other payments and fiscal provisions

- § Taxes on subcontractors, customs duties, property taxes
- § Value added taxes: overview of designs, cashflow issues
- § Environmental fees
- § Domestic market obligations
- § Local content obligations: requirements, enforcement and penalties, deductibility and recoverability
- § Taxation of farm-ins and farm-outs: governments' approaches to capital gains, impact on investors, considerations for deal's structure and SPA provisions
- § Brazil and international practices

Special fiscal designs

- § Risk Service contracts
- § Gross Revenue Split contracts
- § Guaranteed Minimum profit or revenue share
- § Incremental Production contracts: baseline production concepts, issues

Part 3. Understanding the fiscal terms: risks, issues and strategies for companies and governments

Level of fiscal burden (government take)

- § Determining the government take
- § How governments set the level of government take: pre-determined and market-based approaches
- § Fiscal stability: various designs and issues; fiscal stability and carbon pricing
- § Force majeure and fiscal payments

Properties of fiscal terms

- § Sharing of petroleum profits: progressive, neutral, regressive approaches
- § Price risk: one-way and two-way adjustments in fiscal payments
- § Geology and fiscal terms: promotion of exploration
- § Cost-saving incentives and designs, fixes for gold-plating
- § Incremental (differential) analysis
- § Excessive progressivity: gold-plating (costs), transfer pricing (prices), suboptimal field development (production levels)
- § Maximum economic recovery: avoiding early cut-off, promotion of EOR for late-life production
- § Marginal fields development, natural gas development
- § Timing of payments and project's economics: front-end and back-end loading

Incentives and differentiation of fiscal terms

- § Fiscal differentiation
- § Incentives: economic substance of incentives, general and performance-based incentives

Changing fiscal terms

- § Strategies and issues

Administration issues

- § Cost controls by governments
- § Risks for investors

Fiscal terms and commercial decisions

- § What fiscal terms indicate about a jurisdiction
- § Longevity of fiscal terms and risks of changes
- § Companies' perspectives: if any of the fiscal provisions are negotiable, how to maximise a project's value
- § Governments' perspectives: robust fiscal designs to attract investments



Part 4. Special Session: Fiscal terms and policies in Brazil

§ Detailed review and discussion of the existing fiscal terms in Brazil (both concessions and production sharing contracts): structural strengths and deficiencies, international competitiveness, overall scorecard for the fiscal terms:

- Onshore
- Shallow water
- Deep water
- Ultra-deep water
- Frontier acreage
- Marginal fields
- Natural gas

§ How do the Brazilian fiscal terms respond to the current investor's concerns

§ What other jurisdictions are doing to increase production: case studies

§ Discussion of the Brazilian acreage allocation practices: permanent offer and biddable fiscal terms, pros and cons, what other jurisdictions are doing

§ Local content regulations in Brazil: review and comparison with other jurisdictions

§ Energy transition matters and the Brazilian fiscal terms

Part 5. Impact of energy transition on oil and gas projects

Carbon pricing and low-carbon regulations

- § Carbon taxes and emission trading schemes (cap-and-trade, baseline-and-credit)
- § Impact on oil and gas companies: case studies
- § Carbon leakage, border carbon adjustment and impact on jurisdictions without carbon pricing
- § Carbon offsets and credits: compliance and voluntary markets, intergovernmental market
- § Methane emissions
- § Emissions reporting
- § Impact on existing upstream fiscal terms
- § How oil and gas companies are responding: low-carbon businesses and strategies
- § Special discussion of the policies in Brazil

Carbon capture, utilisation and storage (CCUS)

- § Brief overview of CCUS: economics and monetisation options, value chain (integrated projects, service models, storage hubs), markets and costs
- § Fiscal issues with deployment of capture and storage on upstream assets
- § Decommissioning and post-closure monitoring
- § Regulatory framework
- § Fiscal incentives and support measures for upstream projects
- § Special discussion of the policies in Brazil

Renewable energy (with a focus on wind and solar)

- § Integration of renewable energy generation with petroleum projects and hydrogen projects
- § Taxation of renewable energy projects (bonuses, rental payments, royalty levied on renewable energy projects, windfall taxes levied on renewable energy projects)
- § Fiscal incentives
- § Integration with oil and gas projects
- § Special discussion of the policies in Brazil

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Part 5. Impact of energy transition on oil and gas projects

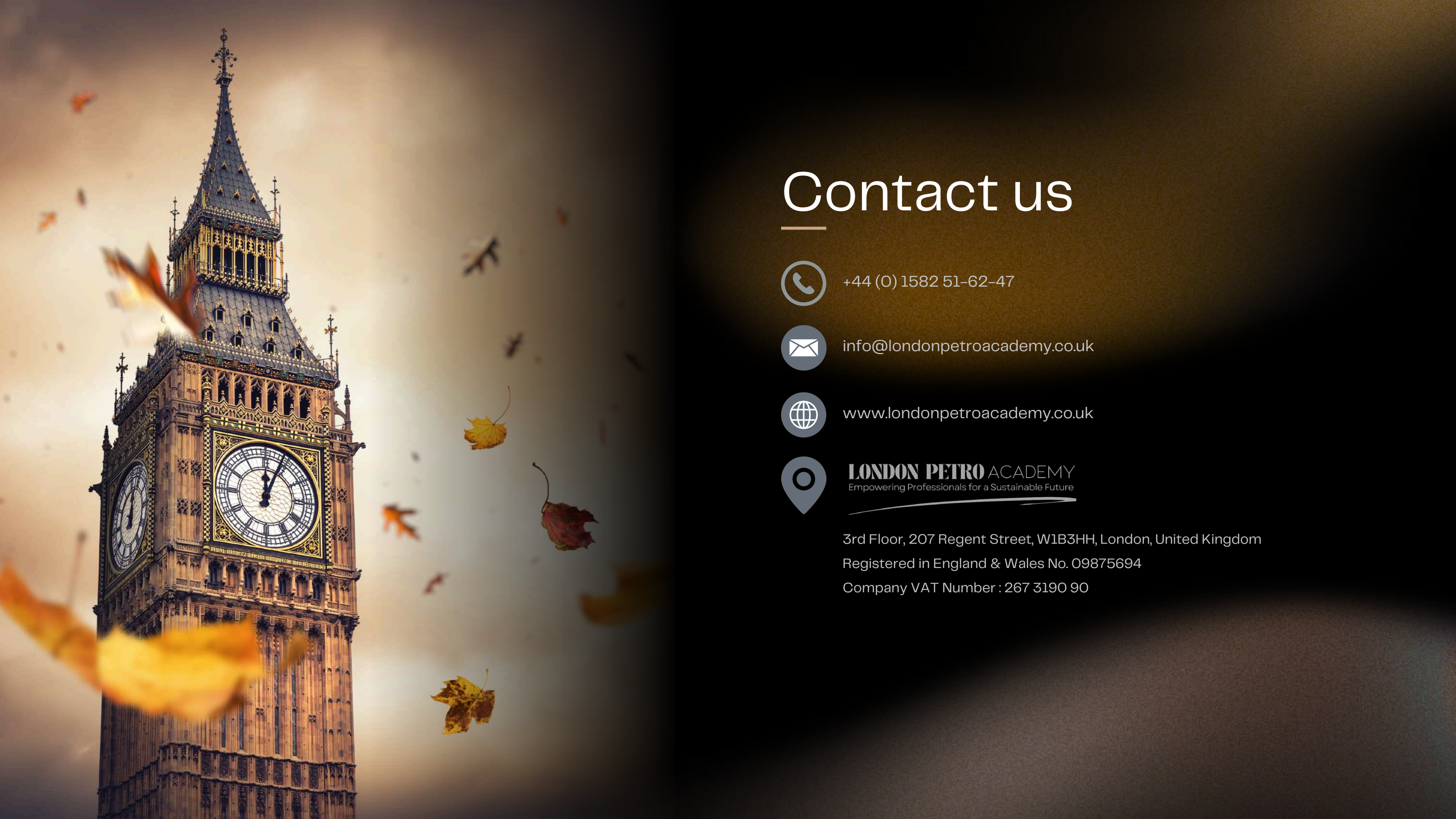
Hydrogen

- § Production methods, key derivatives
- § Impact of hydrogen on oil and gas business
- § Taxation of hydrogen projects
- § Fiscal incentives
- § Integration with oil and gas projects
- § Special discussion of the policies in Brazil

Lithium

- § Brief overview of the business model, production methods and costs, fiscal terms and integration with oil and gas projects
- Oil and gas fiscal policies for energy transition
- § Upstream fiscal terms and responding to energy transition costs for oil and gas companies
 - § Changes required to the existing structures of upstream fiscal terms
 - § Changes required to the existing licencing





Contact us



+44 (0) 1582 51-62-47



info@londonpetroacademy.co.uk



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LONDON PETRO ACADEMY
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3rd Floor, 207 Regent Street, W1B3HH, London, United Kingdom

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